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ASE Technology Holding Co. Ltd. | Asia Pacific

CPO Revenue on Track; Stay OW

AlphaSignals Earnings Reaction

Strengthens our thesis	Modest upside	Modest revision higher
Impact to our thesis	Financial results versus consensus	Direction of next 12-month consensus EPS

Source: Company data, Morgan Stanley Research

CPO is on track for >US$500mn in 2027: Management mentioned the CPO has already started mass production and will reach at least US$500mn in 2027. This is in-line with our estimates that we forecast CPO revenue to be >US$600mn in 2027.

Slightly upward revision of LEAP revenue: The company slightly raised 2026 LEAP (leading-edge advanced packaging) revenue from US$3.7bn to US$4bn and 2027 from >US$7.5bn to >US$8bn, on track to our forecast of US$9bn. It expects at least US$1bn of full process CoWoS-like revenue in 2027 vs. MSe of US$1.8bn.

Margin expansion is also on track: 3Q26 ATM gross margin has already surpassed the structural range and reached 30.6%. The company mentioned 30% would be the new floor and expects it to continue to expand sequentially in 2027.

3Q26 GM and 4Q26 guidance slightly beat: 3Q26 GM of 22.1% is slightly higher than both MSe and the consensus. 4Q26 revenue guidance of 6-8% QoQ growth and GM of 23-24% are both slightly higher than MSe of 5% QoQ growth and 22-23% GM forecast.

Exhibit 1: ASE: 3Q26 Earnings Review

(NT$ mn)	3Q26				
	Actual	Q/Q	Y/Y	MS Est.	Consensus
Financials					
Total revenue	244,161	40.6%	62.0%	235,978	233,152
ATM sales	150,593	33.9%	62.7%	148,647	123,205
EMS sales	92,997	50.3%	58.2%	92,615	66,821
Opex	(20,825)	20.3%	34.4%	(21,327)	(21,344)
EPS (NT$)	6.13	89.5%	253.2%	4.87	5.09
Ratios					
GM (%)	22.1%	204bps	506bps	21.6%	21.4%
Opex (%)	8.5%	-144bps	-175bps	9.0%	9.2%
OPM (%)	13.6%	348bps	681bps	12.5%	12.2%

Source: Company Data, Visible Alpha, Morgan Stanley Research estimates

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ASE Technology Holding Co. Ltd. (3711.TW, 3711 TT)

Greater China Technology Semiconductors | Taiwan

Stock Rating	**Overweight**
Industry View	**Attractive**
Price target	NT$858.00
Up/downside to price target (%)	26
Shr price, close (Oct 29, 2026)	NT$683.00
52-Week Range	NT$765.00-204.50
Mkt cap, curr (mn)	NT$3,082,108

Fiscal Year Ending	12/25	12/26e	12/27e	12/28e
EPS (NT$)**	9.22	18.42	32.92	57.12
Prior EPS (NT$)**	-	-	-	-
EPS (NT$)§	8.70	19.00	29.59	38.93
Revenue, net (NT$ bn)	645.4	847.7	1,143.9	1,540.2
P/E	27.2	37.1	20.7	12.0
ROE (%)	11.8	21.8	33.8	47.9
Div yld (%)	2.2	0.8	0.8	0.8

Unless otherwise noted, all metrics are based on Morgan Stanley ModelWare framework
** = Based on consensus methodology
§ = Consensus data is provided by Refinitiv Estimates
e = Morgan Stanley Research estimates

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Valuation Methodology and Risks

ASE Technology Holding Co. Ltd. (3711.TW)

Base case, residual income model. Key assumptions: cost of equity of 9.8%, intermediate growth rate of 10%, terminal growth rate of 3.5%, and cash dividend payout ratio of 60%.

Risks to Upside

- Stronger-than-expected global economic and semiconductor growth
- Margin expansion through merger consolidation
- New wearables project wins with higher margins

Risks to Downside

- Slower-than-expected global economic and semiconductor growth
- Further margin erosion amid price competition
- Lack of new features in wearables, causing consumers to lose interest

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(as of September 30, 2026)
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Equal-weight/Hold	1563	42%	394	42%	25%	763	43%
Not-Rated/Hold	2	0%	1	0%	50%	1	0%
Underweight/Sell	570	15%	96	10%	17%	227	13%
Total	3,734		946			1774	

Data include common stock and ADRs currently assigned ratings. Investment Banking Clients are companies from whom Morgan Stanley received investment banking compensation in the last 12 months. Due to rounding off of decimals, the percentages provided in the "% of total" column may not add up to exactly 100 percent.

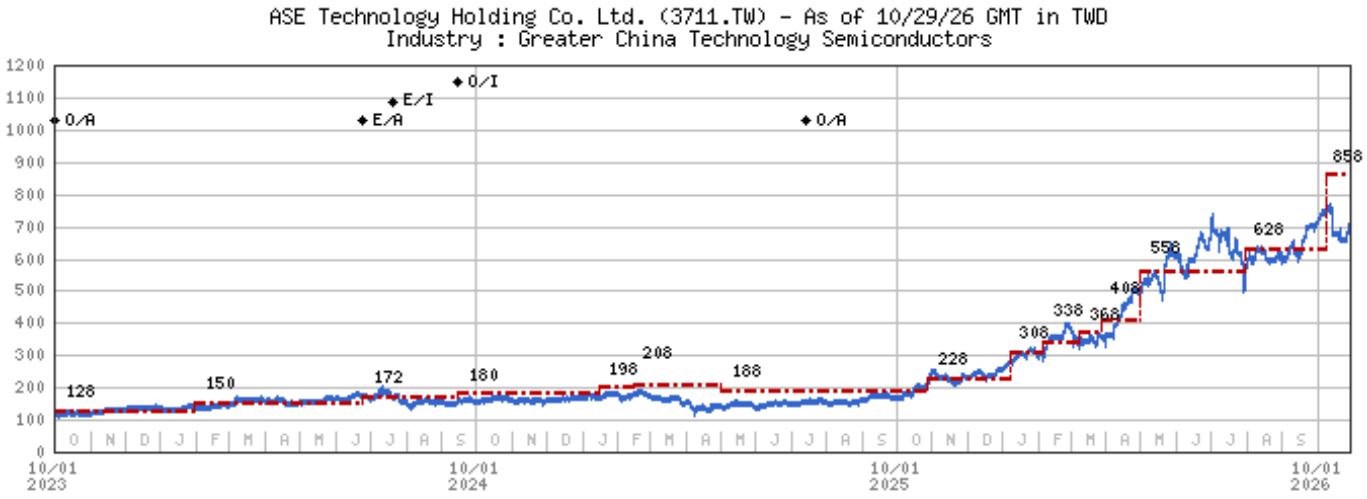
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Price Target History: 7/30/21 : 128; 10/12/21 : 108; 7/12/22 : 90; 7/28/22 : 98; 7/7/23 : 128; 1/30/24 : 150; 6/25/24 : 172; 9/15/24 : 180; 1/15/25 : 198; 2/14/25 : 208; 5/1/25 : 188; 10/28/25 : 228; 1/7/26 : 308; 2/5/26 : 338; 3/9/26 : 368; 3/27/26 : 408; 4/30/26 : 558; 7/30/26 : 628; 10/9/26 : 858

Source: Morgan Stanley Research Date Format : MM/DD/YY Price Target No Price Target Assigned (NA)
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INDUSTRY COVERAGE: Greater China Technology Semiconductors

COMPANY (TICKER)	RATING (AS OF)	PRICE* (10/29/2026)
Charlie Chan		
Advanced Wireless Semiconductor Co (8086.TWO)	U (07/14/2025)	NT$122.00
Alchip Technologies Ltd (3661.TW)	O (05/14/2021)	NT$3,680.00
ASE Technology Holding Co. Ltd. (3711.TW)	O (09/15/2024)	NT$683.00
Cambricon Technology Corporation (688256.SS)	O (04/27/2026)	Rmb913.00
CXMT Corp (688825.SS)	O (08/26/2026)	Rmb42.87
Global Unichip Corp (3443.TW)	O (06/24/2026)	NT$7,640.00
GlobalWafers Co Ltd (6488.TWO)	E (05/19/2026)	NT$814.00
Gudeng Precision (3680.TWO)	O (11/25/2025)	NT$521.00
Hua Hong Semiconductor Ltd (1347.HK)	E (03/12/2026)	HK$64.60
Iluvatar CoreX Semiconductor Co., Ltd. (9903.HK)	O (04/27/2026)	HK$67.15
MediaTek (2454.TW)	O (11/28/2025)	NT$4,045.00
MetaX Integrated Circuits (688802.SS)	E (04/27/2026)	Rmb457.22
Nanya Technology Corp. (2408.TW)	O (05/28/2026)	NT$477.00
Phison Electronics Corp (8299.TWO)	E (02/25/2026)	NT$2,050.00
SG Micro Corp. (300661.SZ)	E (11/03/2025)	Rmb88.59
Silergy Corp. (6415.TW)	U (05/19/2026)	NT$524.00
SMIC (0981.HK)	O (10/21/2025)	HK$44.96
TSMC (2330.TW)	O (02/07/2022)	NT$2,415.00
UMC (2303.TW)	O (05/19/2026)	NT$115.50
Vanguard International Semiconductor (5347.TWO)	E (01/14/2026)	NT$156.50
WIN Semiconductors Corp (3105.TWO)	E (10/09/2026)	NT$594.00
Daisy Dai, CFA		
ASMPT Ltd (0522.HK)	O (07/24/2025)	HK$113.20

China Resources Limited (688396.SS)	U (03/02/2026)	Rmb48.63
Empyrean Technology Co Ltd (301269.SZ)	E (01/17/2025)	Rmb97.70
Hangzhou Silan Co. Ltd. (600460.SS)	U (08/25/2025)	Rmb24.18
Hygon Information Technology Co., Ltd. (688041.SS)	O (07/03/2026)	Rmb185.88
Innoscience (2577.HK)	E (10/13/2025)	HK$29.50
JCET Group Co Ltd (600584.SS)	O (09/16/2026)	Rmb51.87
Shanghai Fudan (1385.HK)	O (03/07/2025)	HK$22.64
SICC Co Ltd (688234.SS)	O (03/20/2026)	Rmb75.68
SJ Semiconductor Corp (688820.SS)	E (09/16/2026)	Rmb78.28
StarPower Semiconductor Ltd (603290.SS)	E (05/14/2026)	Rmb69.07
Unigroup Guoxin Co Ltd (002049.SZ)	U (01/10/2023)	Rmb47.78
Universal Scientific Ind. (Shanghai) (601231.SS)	O (11/05/2025)	Rmb19.82
Yangjie Technology (300373.SZ)	O (06/10/2022)	Rmb72.84
Daniel Yen, CFA		
AP Memory Technology Corp (6531.TW)	O (07/11/2025)	NT$841.00
ASMedia Technology Inc (5269.TW)	U (10/03/2025)	NT$1,465.00
Aspeed Technology (5274.TWO)	O (06/09/2025)	NT$16,980.00
Egis Technology Inc (6462.TWO)	E (01/28/2026)	NT$98.60
Elan Corp (2458.TW)	O (10/03/2025)	NT$129.00
eMemory Technology Inc (3529.TWO)	O (08/18/2026)	NT$2,540.00
Espressif Systems (688018.SS)	O (05/15/2023)	Rmb134.42
GigaDevice Semiconductor Beijing Inc (603986.SS)	O (05/15/2025)	Rmb275.99
Himax Technologies Inc (HIMX.O)	E (02/04/2026)	US$12.01
Macronix International Co Ltd (2337.TW)	O (09/18/2025)	NT$100.00
Montage Technology Co Ltd (6809.HK)	O (03/18/2026)	HK$215.00
Montage Technology Co Ltd (688008.SS)	O (03/18/2026)	Rmb166.79
Novatek (3034.TW)	U (02/04/2026)	NT$596.00
Nuvoton Technology Corporation (4919.TW)	U (11/10/2025)	NT$133.00
Parade Technologies Ltd (4966.TWO)	U (10/29/2026)	NT$490.50
Powerchip Semiconductor Manufacturing Co (6770.TW)	O (10/27/2025)	NT$69.50
Realtek Semiconductor (2379.TW)	E (01/30/2026)	NT$794.00
Shenzhen Goodix Technology Co Ltd (603160.SS)	U (07/14/2025)	Rmb59.53
Silicon Motion (SIMO.O)	O (05/06/2024)	US$219.61
Winbond Electronics Corp (2344.TW)	O (05/28/2026)	NT$170.50
WPG Holdings (3702.TW)	O (03/16/2026)	NT$110.00
WT Co. Ltd. (3036.TW)	O (01/27/2026)	NT$214.00
Henry Zhao		
ACM Research Inc (ACMR.O)	O (03/07/2023)	US$53.02
Advanced Micro-Fabrication Equipment Inc (688012.SS)	O (11/06/2023)	Rmb227.00
Maxscend Co Ltd (300782.SZ)	U (01/11/2021)	Rmb54.38
NAURA Technology Group Co Ltd (002371.SZ)	O (11/06/2023)	Rmb497.30
OmniVision Integrated Circuits Group Inc (603501.SS)	E (10/29/2026)	Rmb85.79
Lucas Wang		
AllRing Tech Co. (6187.TWO)	O (09/23/2025)	NT$1,260.00
FOCI Fiber Optic Communications Inc (3363.TWO)	E (10/09/2026)	NT$490.00
Hon Precision (7769.TW)	O (04/17/2026)	NT$5,190.00
King Yuan Electronics Co Ltd (2449.TW)	O (03/03/2023)	NT$269.50
MPI Corporation (6223.TWO)	O (04/17/2026)	NT$4,840.00

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